LEARNING CENTRE

UNDERSTANDING INVESTMENT RISK

When investing your money, it is important to understand a little more about the types of investment and how much financial risk is involved with each



Illustration by SIDDHANT JUMDE

Investment risk and return are inextricably linked. Although some of us may have a basic understanding of the relationship between them, they can mean different things to different people. When investing money, we always hope for it to go up in value so that when it is time for us to take it out, it is worth more than what we originally invested.

However, all investments have some investment risk associated with them—it is important to remember that the value of investments can go down as well as up and you may get back less than you paid in. Investors often do not understand risk and confuse risk with only loss. Take, for instance, the impact of inflation on your savings in the bank; when the bank interest is below the prevailing inflation, you actually end up paying the bank to safekeep your money.

Often, an investor's view of risk is based on their personal circumstances (see *Risk Lexicon*) because of their knowledge or lack of it when making financial decisions. For instance, which product would you choose—a six per cent guaranteed return instrument or one where there is the possibility of earning a return of 10 per cent in the same period? If you go with the former, it indicates that you like predictability in your returns and are cautious. However, if you choose the latter, you are adventurous and are willing to take risks.

RISKMETER

Based on investor concerns and the risks involved when investing, there is a risk grade matrix. Investors against any risk are at one end of the scale and those willing to take extreme risks with their investment at the other end. There are risk levels in between that could be moderate, slightly higher and so on. A similar risk grid is also available for financial instruments based on the risks involved in investment.

A bank fixed deposit is as good as zero risk, but putting money in say cryptocurrency is the highest risk-taking financial instrument. As an investor, your attitude to risk and return is likely to vary throughout your life. Your views may be influenced by changes in your personal circumstances or by issues such as prevailing economic conditions or whether financial markets are rising or falling.

When investing towards financial goals—the longer the goal is away, the greater the risk that you can take with investments towards it. On the contrary, when the goal is close, you wouldn't wish to take any risk. The aim is to find the right balance between what you want to achieve and how much risk you're willing and can afford to take. ■

–Narayan Krishnamurthy

RISK LEXICON

Risk tolerance
The degree of variability in investment returns that you are willing to withstand. For example, how much a person is willing for their portfolio to diminish for a chance to make bigger returns.

Risk capacity
The amount of risk that an investor must take in order to reach financial goals. For instance, one has to take a minimal risk of meeting inflation to retain the worth of their money. Just as a doctor knows what medicine to prescribe for the illness you have, a financial advisor can ascertain the risk capacity you need to realise your financial goals.

Risk profile
The agreed level of risk that you are willing to accept after taking both risk tolerance and risk capacity into account.

Next time: What is financial planning?